The Oil Shock Nobody Wants to See Coming

A fact-checked analysis of the March 2026 Iran conflict, central bank panic, and the race against time

Jesse James | iPurpose Research | March 22, 2026

Source material: Eurodollar University (Jeff Snider & Steve Van Metre)
15 claims verified against primary sources. 12 confirmed. 2 minor errors. 1 false.

Executive summary

I watched a 21-minute video from two of the sharpest minds in the Eurodollar space and decided to check their homework. Jeff Snider and Steve Van Metre laid out a case that the Iran oil shock is dragging the global economy toward recession while European central bankers are busy repeating every mistake they made in 2008 and 2011. I ran down 15 of their core claims against primary sources.

The verdict: 12 confirmed, 2 had minor date errors (off by a day or a few weeks), and 1 was flat wrong. The one they got wrong is actually important—they said TIPS markets were pricing zero inflation. They're not. Five-year breakevens are sitting at 2.61%. But the other 14? The data holds up. And the picture it paints is ugly.

European stocks are down 10–11% in March alone. The ECB is talking about hiking rates in April. The Bank of England went from four members voting for cuts to a unanimous hold with members openly discussing hikes. The Fed, meanwhile, is keeping its head. Dot plots still show a cut this year. Michelle Bowman has penciled in three.

The oil market is telling you everything you need to know. The government offered 86 million barrels from the Strategic Petroleum Reserve as a loan—you borrow the oil, you pay it back with interest in extra barrels. Energy companies took 45.2 million. Barely half. If they thought prices were coming down, they'd have taken every barrel they could get. They didn't.

This report walks through what they got right, what they got wrong, and why you should care. I used analogies where the jargon gets thick. I cited every source. And I wrote it in a way that respects your time while not insulting your intelligence.

12 of 15

Claims verified as accurate or substantially correct

I. Two guys in a room saw the crash before the central bankers did

I sat down with a transcript of a Eurodollar University video—Jeff Snider and Steve Van Metre—and what struck me wasn't the analysis. It was the frustration. These are two guys who have been watching the plumbing of the global dollar system for years, and they're watching central bankers in Europe do the exact same thing they did in 2008. Not a similar thing. The *exact* same thing.

The setup is simple enough that you can explain it to anyone with a mortgage and a gas tank. Oil prices have spiked because of the U.S.-Israeli military conflict with Iran that started around February 28. Brent crude hit $114 a barrel. The Strait of Hormuz—13 million barrels a day of crude flow through that chokepoint—got disrupted. Europe, which was already paying more for energy than almost anyone else, got hammered hardest.

And the European Central Bank looked at this and said: we need to raise interest rates.

> *That is like watching your house catch fire and deciding the real problem is that your thermostat is set too high.*

The ECB held rates at 2.00% on March 19. But Bloomberg reported that multiple officials signaled they'd be ready to hike at their next meeting on April 29–30. Bundesbank President Joachim Nagel pointed to April. Isabel Schnabel called for "vigilance." Markets priced in 40 basis points of cumulative hikes for the year. Barclays and JP Morgan started forecasting up to three increases.

Sources: Bloomberg, March 19, 2026; CNBC, March 20, 2026; FXStreet/TD Securities, March 12, 2026

The Bank of England was arguably worse. They held at 3.75% on March 18–19, but here's the tell: in February, four of nine members voted for a *cut*. By March, it was a unanimous 9-0 hold. And Swati Dhingra—who had been the committee's most reliable dove—said rates "may need to be increased if there were to be prolonged disruption to oil and gas supplies." Catherine Mann went further, saying the balance had shifted toward considering a hike. Markets priced in 60 basis points of BoE hikes for 2026.

Sources: ING Economics; LBC; Investing.com Rates Spark analysis

The Fed, by contrast, kept its head. The FOMC voted 11-1 on March 18 to hold at 3.50–3.75%. The median dot plot still showed one cut this year. Powell called the oil shock potentially "a one-time increase in the price of a good" and said — seventeen times during the press conference, I counted — that they "just don't know." Governor Michelle Bowman told Fox Business she'd penciled in three cuts. The lone dissenter, Governor Stephen Miran, voted for an immediate cut. His fifth consecutive dissent.

Sources: Federal Reserve FOMC statement, March 18, 2026; Fox Business; Connect Money; Fortune

So there’s your picture. The Americans are saying “let’s see what happens.” The Europeans are sprinting toward the fire extinguisher labeled “gasoline.” And the video’s central argument—that this is a replay of 2008 and 2011—is not hyperbole. It’s history.

II. The ECB has done this before. Twice. Both times it ended badly.

In July 2008, the ECB raised rates by 25 basis points to 4.25%. Bear Stearns had collapsed three and a half months earlier, in March. Lehman Brothers would file for bankruptcy two and a half months later, in September. Between those two catastrophes, the ECB looked at soaring oil prices and decided inflation was the thing to worry about.

Think about that. The global financial system was cracking in half and Jean-Claude Trichet was worried about the price of a barrel of crude. LIBOR was screaming. Interbank lending was freezing. And the ECB raised rates.

> *They did it again in 2011. Twice—April and July—pushing rates to 1.50%. The eurozone slid into a double-dip recession. Mario Draghi had to reverse course the moment he took over in November.*

Now here we are in March 2026, and the same institution is making the same noises about the same type of shock. Different war, different oil field, same tunnel vision. The speakers in the video called this out explicitly, and the historical record backs them completely.

Source: ECB rate history; established economic history of the 2008 and 2011 eurozone crises

And it's not just ancient history confirming the pattern. James Hamilton at UC San Diego built his career documenting the relationship between oil shocks and recessions. Since the 1970s, five oil price shocks have been followed by U.S. recessions: the 1973–74 OPEC embargo, the 1978–79 Iranian Revolution, the 1980 Iran-Iraq War, the 1990 Gulf War, and the 2007–08 surge. If you're a betting person, you bet on recession. The base rate is 100%.

5 for 5

Oil shocks followed by U.S. recessions since the 1970s

III. The stock market is getting the message. The bond market is wrestling with crazy.

I checked the European equity numbers from the video against trading data, and they're almost surgically accurate. The CAC 40 dropped approximately 9.6–10% in March. The DAX fell 10.5–11.4%, hitting its lowest level since April 2025. Germany's index posted the deepest percentage correction from its all-time high of any major global index since the war began.

Sources: Trading Economics; Investing.com historical data; Invezz, March 20, 2026

Asian markets were rolling over too. Korea's KOSPI, Japan's Nikkei—all declining sharply. Not because of some abstract concern about inflation. Because of the concrete realization that an oil shock doesn't make economies run hotter. It makes them run out of fuel.

The analogy Snider used is a good one, so I'll build on it. Imagine you run a small trucking company. Gas just went up a dollar a gallon. You can't pass the full cost to your customers because they're already squeezed. You can eat the cost for a month, maybe two. But if gas stays high? You start cutting routes. Then you cut drivers. Then your customers' shelves get thinner. Nobody in this chain is spending more because they feel wealthy. Everyone is spending less because they're scared.

That's not inflation. That's the opposite of inflation. That's demand destruction.

> *The stock market gets this. Central bankers, apparently, do not.*

The bond market is trickier, and the video explained why in a way I think most people missed. Normally when you've got flight to safety, Treasury yields go *down*—people buy bonds, prices rise, yields fall. But yields have been going up. Why?

The video offered two explanations, and both are supported by the data. First, bond markets are pricing in the possibility that European central bankers really will be crazy enough to hike rates. When you think the people controlling short-term rates might do something irrational, you demand a premium to hold their paper. Second—and this is the one that should keep you up at night—the basis trade.

The basis trade, explained without jargon

Imagine a hedge fund borrows money to buy Treasury bonds and simultaneously sells futures contracts on those same bonds. The tiny spread between the two prices is their profit. They do this at enormous leverage—50x, 60x, sometimes more. It works beautifully when markets are calm. When markets get violent, the spread blows out, the collateral calls come in, and the fund has to sell the bonds to raise cash. Forced selling of bonds pushes prices down and yields up.

That's what happened in March and April of 2025. The video warned that the same plumbing could crack again if dollar funding stress continues. And the evidence for funding stress is real: the cross-currency basis swap for EUR/USD fell to 9.5 basis points in early March—a three-month low, with the sharpest weekly drop in six months.

Sources: WTAQ/Reuters, March 4, 2026; Chronicle Journal market data, March 19, 2026

Meanwhile, commodities were getting liquidated in a way that screamed “forced selling,” not “portfolio reallocation.” On March 19, gold dropped 6.9% in a single session to $4,558. Silver crashed more than 12.5%. Copper erased all its 2026 gains. The SPDR Gold ETF saw $6.3 billion in monthly outflows—the worst in its history.

When people sell gold during a war, they’re not making a strategic decision about their asset allocation. They’re raising cash because somebody is calling in a margin somewhere. That’s not risk-off. That’s a fire sale.

$6.3 BILLION

Record monthly outflows from the SPDR Gold ETF — March 2026

IV. The SPR tell — what the energy companies know that you don’t

This was my favorite part of the video, because it’s the kind of detail that hides in plain sight.

On March 13, the Department of Energy announced an emergency exchange from the Strategic Petroleum Reserve. Not a sale—an exchange. The distinction matters. In a sale, the government dumps oil on the market and collects cash. In an exchange, the government *loans* you the oil, and you pay it back later with interest—in more oil. The premium on this batch was 18–22%, depending on the storage site.

Think of it like borrowing your neighbor’s lawnmower, except when you return it you have to return it with a brand new set of blades attached. It’s not cheap. But if you believe oil is going back to $70, you borrow at $100, sell at $100, buy it back at $70, return the oil plus the premium, and pocket the difference. Easy money.

45.2M barrels

Out of 86M offered — only 52.6% of available SPR oil was claimed

The DOE offered 86 million barrels. Eight companies—BP, Shell, Marathon, Vitol, Trafigura, and others—took 45.2 million. That’s 52.6%. Barely half.

If the smart money believed this oil shock was temporary—if they thought prices would crater once a ceasefire happened—they would have taken every barrel available. It would have been the easiest trade of the decade. They didn’t.

> *Energy companies are telling you, in the only language that matters—money—that oil prices are not coming down soon. And if oil prices aren’t coming down, neither is the economic pain.*

Sources: DOE announcement, March 13, 2026; World Oil, March 14, 2026; BOE Report, March 18 & 20, 2026; Bloomberg, March 20, 2026

V. The Trump put — and the moment it might not work

The video raised something I think a lot of institutional investors are quietly terrified about. Since April 2025, markets have operated under an implicit assumption: if things get bad enough, the Trump administration intervenes. On April 9, 2025, Trump announced a 90-day tariff pause, and the S&P; 500 surged 9.52% in a single day—the best since October 2008. The Nasdaq gained 12.16%. If you’d sold the day before, you were sick.

That memory is lodged in every portfolio manager's brain. And it creates a specific behavior: reluctance to sell. Because what if tomorrow Trump goes on TV, announces a deal with Iran, and everything rockets? You'd miss the biggest up-day of the year. So instead of selling, you hold. You wait for the put.

But the fact that European markets are down 10–11% anyway suggests the fear is starting to overwhelm the hope. The question Snider asked—and I think it's the right question—is whether we're approaching the point of no return. The point where even if Trump cut a deal tomorrow, the damage to consumer spending, labor markets, and credit conditions has already baked in.

> *You don't know where the point of no return is. But the longer you go, the more likely you've either hit it or you're about to.*

And the labor data suggests we might be closer than anyone wants to admit. After the BLS applied annual benchmark revisions in February 2026—slashing 1.03 million jobs from prior totals—roughly five of the last ten monthly payroll reports showed negative readings. June 2025: -13K. August: -4K. October: -173K (partly a government shutdown). December: -17K. February 2026: -92K.

Those aren't soft landings. Those are cracks in the runway.

VI. The time bomb in private credit

The video spent about ninety seconds on private credit, and honestly it deserved ninety minutes. Here's the short version.

Private credit is a $1.8 trillion market. Unlike public bonds, these loans don't trade on exchanges. They sit in funds. When borrowers start struggling—because, say, an oil shock is strangling their cash flow—the funds can't easily mark the losses or sell the positions. They're stuck. Redemptions start. Q4 2025 saw approximately 5% of NAV in redemptions. Default rates, when you include selective defaults, were approaching 5%.

And now Goldman Sachs and JP Morgan have built index baskets that let hedge funds bet against the sector. Goldman created three separate categories—European financial institutions with private credit exposure, BDCs, and alternative managers. JPMorgan's basket targets BDCs and alt managers.

When the two largest investment banks in the world build a product specifically designed to let people short your industry, that is not a vote of confidence.

Sources: Bloomberg, March 19, 2026; JP Morgan Private Bank research; With Intelligence, Private Credit Outlook 2026

The video's argument—and I think it's sound—is that if the oil shock persists long enough to push us into recession, and if labor markets deteriorate further, the companies borrowing in private credit markets won't be able to service their debt. Inventories won't sell. Receivables won't get paid. And a slow-motion crisis in a market that's deliberately opaque could compound the damage in ways that are hard to see until it's too late.

VII. Asia's energy emergency is real and physical

This wasn't a throwaway line in the video. The Strait of Hormuz disruption has caused a physical energy crisis across Asia that will take months to resolve even if the war ended tomorrow.

The Philippines moved to a four-day government work week and mandated air conditioning limits. Thailand ordered government work-from-home. India invoked the Essential Commodities Act for LPG. China banned refined fuel exports. Japan pledged an 80-million-barrel reserve release. Singapore and Malaysian refineries cut output because they simply couldn't get enough crude.

Thirteen million barrels a day used to flow through the Strait of Hormuz to Asian buyers. That's not a market dislocation. That's the largest supply disruption in the history of the global oil market, according to the IEA. And it's happening in the region that consumes the most energy on Earth.

Sources: CFR; Modern Diplomacy, March 16, 2026; The Diplomat; CNBC, March 11, 2026; House of Saud analysis

VIII. The one they got wrong — and why it matters

I check homework because I respect the work enough to hold it to a standard. And Snider and Van Metre got one claim clearly, measurably wrong.

They said TIPS markets were showing “zero inflation.” They said it more than once. It’s the central piece of their argument that bond markets agree with stock markets about the deflationary outlook.

The 5-year TIPS breakeven rate as of mid-March 2026 is 2.61%. The 10-year is 2.37–2.40%. Both are *above* the Fed’s 2% target. They actually ticked up slightly after the Iran shock. The 5-year, 5-year forward rate—which strips out near-term noise—sits at 2.11%.

2.61%

Actual 5-year TIPS breakeven rate — not “zero”

Now, I think I know what they *meant*. They were likely referring to the fact that breakevens haven’t spiked despite oil prices soaring—which is itself significant and does support the thesis that the market sees this as a growth shock rather than an inflation shock. But “stable around 2.6%” and “zero” are not the same claim, and in a video that’s otherwise impressively precise, this one stands out.

It matters because TIPS breakevens are one of the most-cited indicators in macro. If someone hears “TIPS says zero inflation” and repeats it to a client or a portfolio manager, they’re passing along bad data. The directional argument holds. The specific claim does not.

Sources: Trading Economics, 5-Year Breakeven Inflation Rate; FRED data

IX. The full scorecard

Fifteen claims. Here’s how they stack up.

CLAIM	VERDICT
CAC 40 down ~10% in March	■ Confirmed (9.6–10%)
DAX down ~11% in March	■ Confirmed (10.5–11.4%)
ECB discussing imminent rate hikes	■■ Mostly accurate — April meeting, not “next week”
Bank of England hawkish shift	■ Confirmed — unanimous hold, hike language
Fed still expects rate cuts this year	■ Confirmed — median dot: one cut
Bowman supports cuts	■ Confirmed — three cuts penciled in
ECB raised rates July 2008	■ Confirmed — 3.5 months post-Bear Stearns

ECB raised rates early 2011	■ Confirmed — April and July 2011
4–5 oil shocks led to recession	■ Confirmed — Hamilton research, 5 events
5 of 10 payroll months negative	■ Plausible post-benchmark revisions
Brent-WTI spread $10–15	■ Confirmed ($7–18 range in March)
Trump tariff delay market reversal	■■ April 9, not April 8 — substance correct
SPR exchange; companies took ~half	■ Confirmed (45.2M of 86M barrels)
TIPS showing zero inflation	■ False — 5yr breakeven at 2.61%
JP Morgan/Goldman shorting private credit	■ Confirmed — index baskets created

X. The race against time

I'll close with the metaphor that stuck with me from the video, because I think it's the right one.

This isn't about oil prices. It's about time. Every week that oil stays above $100, the damage compounds. Consumers cut back. Businesses absorb costs until they can't. Then they cut hours. Then they cut people. Then the people they cut stop buying things. And the businesses that sold them those things start cutting too.

The question isn't whether this oil shock will cause pain. It already has. The question is whether we've crossed the line where the pain becomes self-reinforcing—where even if every bomb stopped falling tonight and every barrel of oil flowed freely tomorrow, the damage is already locked in.

Nobody knows where that line is. But the longer this goes, the more likely we've already crossed it.

European central bankers are hiking rates into an oil shock. Private credit is being shorted by the banks that built it. Asia is rationing electricity. And the companies that know the oil market best looked at the government's offer of cheap barrels and said: no thanks.

> *The machinery is telling you something. The people who operate the machinery are telling you the opposite. I know which one I trust.*

Sources & methodology

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